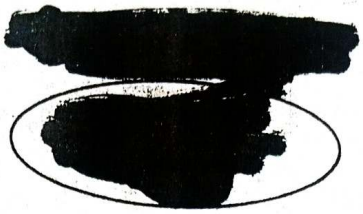
FINANCE



International Portfolio Investments

23.0 INTRODUCTION

Essentially, foreign investment is a cross-border (international) acquisition of financial or physical assets. There are two (2) broad species of foreign investments namely: direct foreign investment and portfolio investment. Direct investment occur when foreigners either wholly or jointly with local investors establishes physical presence in another country through acquisition of physical assets such as factories, buildings, plants and machinery etc, for use in the production process. The foreign investor is directly involved in the control and management of the enterprise.

The second specie of foreign investment is the portfolio investment. This involves capital inflow into an economy by investors whose objective is to quickly maximize their financial gains by investing in money and capital market instruments, without the intention of participating in the management, or taking up residence in the recipient country. Conceptually, a portfolio can simply be described as a collection of investments. Thus an investor may hold a portfolio of stock market securities such as shares and bonds. Another investor may hold a portfolio of money market instruments such as certificates of deposit etc. A rational investor will usually aim at

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reducing the risks attaching to his investments by diversifying his portfolio. This ensures that ill fortune in one area is compensated by surplus from another.

The focus of this chapter is on portfolio investments. This is made possible through the process of financial intermediation. Portfolio investment (also called financial investment) tends to be **passive by nature** especially when compared to direct investment. That is to say that investors who hold stocks and bonds in foreign companies abroad generally do not attempt to influence how the companies are managed. Those who are not satisfied with the performances of the companies simply sell their investments. In order words, portfolio investments can usually be reversed on short notice as they are highly sensitive to changing economic conditions.

23.1 INTERNATIONAL FINANCIAL INTERMEDIATION

As the whole world is gradually becoming a global village, one major development that have benefited the world economy is the globalization of the money and capital markets; which have greatly boosted international financial intermediation. Surplus savings units in the form of institutions and individual investors are enabled to diversify their sources of funds and investment portfolios across international boundaries. In other words, international financial intermediation allows movement of funds from the surplus units (lenders) to the deficit units (borrowers) internationally. Many countries have welcomed the development by removing barriers on capital movements, foreign exchange controls, foreign investment restrictions and have been either eliminating or substantially reducing taxation of income from foreign and international investments. This has created an international environment for efficient allocation of financial resources among lenders and borrowers. Investments in international money and capital markets fall under the ambit of international portfolio investments.

23.3 THE INTERNATIONAL MONEY MARKET

Money market in this context may be defined as a market for borrowing and lending of short-term funds internationally. The market aids all forms of business transactions. This market has no physical location; it is a network of telephone and cable connections among banks and non-bank

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financial institutions as well as other lenders and borrowers. Typica money market instruments include:

- Foreign currency overdraft
- Euro currency overdraft
- Foreign treasury bills
- Negotiable certificate of deposits
- Commercial papers
- Hot money
- Money at call
- Derivatives
- Bankers acceptances

23.2.1 *Foreign Currency Overdraft*

This refers to overdraft in a foreign currency, as alternative to borrowing in local currency. A multinational corporation borrowing in a particular currency against anticipated inflow in that currency need not hedge against exchange risk.

23.2.2 *Euro Currency Overdraft*

Eurocurrency is money deposited in a financial centre outside of the country whose currency is involved. An exporter can create a euro dollar deposit by simply depositing its dollar export proceeds outside the USA and thus enable the Eurocurrency deposit taking bank to create Eurodollar overdraft to another borrower.

23.2.3 *Foreign Treasury Bills*

Treasury bills are short-term financial instruments of borrowing by governments. Since they are backed by governments, they usually have low risk of default. They are sometimes referred to as risk-free investments.

23.2.4 *Negotiable Certificate Of Deposit*

A certificate of deposit is an interest bearing negotiable bearer certificate issued by a bank, which evidences a time deposit with the bank. The primary market may be defined as existing between the original depositor

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and the issuing bank. It can then be traded in the secondary market. Since they are freely negotiable, the holder of the certificate at any point in time is entitled to the funds.

23.2.5 *Commercial Paper*

This is an instrument for raising short-term funds by corporate, financial and sovereign issuers. It is issued in the form of unsecured promissory notes or bills of exchange, in bearer form, and usually sold on discounted basis abroad. They usually have maturities of less than one year, and presents a straight forward, low cost alternative to bank borrowing for top rated borrowers (blue-chips) to raise short-term funds. Commercial paper rates are usually below LIBOR (London Inter-bank offered Rate) – the rate at which major London banks offer to lend funds to each other.

23.2.6 *Hot money*

This is a very substantial quantity of international money, which is available for investment or for speculative purposes. Hot money flows into a country when interest rates are higher than in other countries so as to take advantage of interest rate differentials. Such funds are not stable because it can equally flow out rapidly, thus putting speculative pressure on the country's currency to weaken. Hot money is useful in buoying the external reserve position of a country, and this is one reason why interest rates are increased when a country is experiencing a balance of payment crises. Thus hot money as a money market instrument is as useful as it is dangerous.

23.2.7 *Money At Call*

These are short term deposits repayable on call by the depositor. It provides financial institutions with excess liquidity an avenue to mop-up such excesses while those with temporary shortfalls can borrow to bridge the temporary gap.

23.2.8 *Derivatives*

Derivatives are futuristic synthetic instruments that are based on underlying assets. In the international foreign exchange market, the main

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assets traded are the major convertible currencies such as Euro, US$, C etcetera. The major derivative instruments are swaps, forwards, futures options.

23.2.9 *Bankers' Acceptances*

This is one of the oldest money market instruments. It is a bill of excha drawn on a bank by a firm, and becomes a banker's acceptance when bank writes or stamps *"accepted"* on the face of it. Thus, a bank acceptance is a bank's guarantee to pay, at a specific date in future, a of exchange drawn on it. Once accepted, the bill of exchange is t returned to the drawer who can then discount it. Because of the reputa and strength of the acceptor (the bank), it is easier to discount the bill t ordinarily would have been the case. More often that not, there is underlying commercial transaction between the drawer and the bank. banker merely "lends" his name to the bill to enable the drawer r accommodation finance. Bankers' acceptances may be used locally an internationally.

23.3 THE INTERNATIONAL CAPITAL MARKET

The capital market is the market for the lending and borrowing of lo term funds. It encompasses all institutions and procedures that facilit transactions in long-term financial instruments internationally. The mo borrowed or lent in this market is used to finance capital projects; thi without prejudice to restrictions that may be imposed by local laws. T international capital markets do not differ fundamentally form domes capital markets in role or fundamental instruments. The dichotomy rests the source of investment funds available to borrowers, and the fact that markets are by their nature outside the domain of any one governm control. Typical capital market instruments include:

- Equity
- Unit trusts
- Debentures
- Eurobonds
- Foreign bonds
- Hybrids
- Euro currency loans.

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23.3.1 *Equity*:

A reputable company quoted on any international stock exchange will usually have its shares traded thereon. Equity instruments grants the investor a specified share of ownership and rights to a proportionate part of any dividend declared. In other words, being an equity shareholder of a company automatically makes you a co-owner of that company.

In view of the difficulties encountered by companies from less developed countries to raise capital from developed capital markets (e.g. costs, stringent rules, etc), an indirect method of raising equity from developed capital markets is to issue ***depository receipts***. Under this arrangement, a company issues its shares to a depository (a reputable international financial institution) who then bundles a specified volume of shares as depository receipt and issues them to international investors either by private placements or listing the depository receipt on the international stock exchange. The depository receives dividend from the issuing company, and then pays it to the depository receipt holder.

23.3.2 *Unit Trusts*:

A unit trust is a method of investment whereby money subscribed by many people is pooled in a fund, the investment and management of which is subject to the legal provisions of a trust deed. The funds is invested in securities on behalf of the subscribers by a management company. Unit trust offer investors the advantages of good yield, security, regular income distribution, and, above all, spread of risk.

Unit trusts are particularly suitable for investors who are concerned to reduce risk, because the money can be spread among a range of stocks and shares, which are unlikely to all, do badly at the same time. The beauty of it is that investors do not require knowledge of the stocks or shares of specific companies. Such technicalities are at the discretion of expert investment managers who make decisions about what companies to invest in.

23.3.3 *Debenture:*

This is a security issued by a company under a trust deed against a loan to the company which issues it. Debentures may be bought and sold through

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international stock exchanges. Debenture holders have a right to an agreed fixed rate of return irrespective of whether the company made profit or loss and, except in the case of irredeemable debenture, the right to a repayment of their principal at an agreed date.

23.3.4 *Euro bond:*

A bond is an instrument of borrowing under seal, with a defined life, final maturity date, and agreed terms of payment to the investor. Euro bonds are international bonds issued in various currencies by Government concerns (sovereign borrower) or large international companies and sold outside the country whose currency they are denominated. They may be in the form of conventional bonds, debentures or convertible debentures. The Eurobond investor must be an owner of foreign currency held outside the country of the currency's origin. A secondary bond market (Eurobond market) has been established in which Eurobonds may be bought and sold; and the market is not subject to regulation by any single country.

23.3.5 *Foreign Bond:*

A foreign bond differs from Eurobond in the sense that unlike Eurobond, it is issued by a company or government in a domestic capital market of a foreign country. It is denominated in the currency of the country where it is issued, and subject to the laws and regulations of that country. Thus a bond issued by the Federal Government of Nigeria on the New York stock exchange and denominated in dollars is an example of a foreign bond.

23.3.6 *Hybrids:*

Hybrid instruments offer a combination of debt and equity features. Typical examples are convertible bonds and bonds with equity warrants. The holder of a convertible bond has the right to exchange the fixed-rate bond for shares of the issuer at a specific price (the conversion price) in accordance with the terms of the contract at a future date. In the case of bonds with equity warrants attached, they are issued with another certificate, or warrant, attached. A warrant is essentially an option, which allows the holder to buy a given number of shares of the issuer in future at a specific price (the exercise Price). The main reason for attaching a

warrant to a bond is to make the bond attractive to investors. They can often be detached from the original bond and traded independently.

23.3.7 *Euro currency loans:*

Euro currency is a term used to describe any freely convertible currency (USD, GBP, Euro etc) deposited in banks outside the country of its origin. In other words, the deposit are held by person who do not live in the country whose currency it is, and who keep the deposit in a third country. For example, a bank in Germany, which receives US dollars from any country other than the USA, would have some Eurodollars. These deposits are used by banks to make Eurocurrency loans for a long period of time by acting as intermediaries between the depositors and the borrowers. The actual dollars would throughout remain in the U.S, but as the borrowers and lenders conclude their agreements, various accounts in the U.S. would be credited and debited accordingly. There is a ready market for Eurocurrencies, and most international firms find it convenient to raise capital from the Eurocurrency market because the market is free of exchange control regulations. There are variegated forms of Eurocurrency loans such as:

(i) **Fixed rate loan** – are typically medium to long-term loans of duration of between five to ten years, at a fixed rate of interest, with a bullet repayment at maturity or repayable in agreed periodic installments.

(ii) **Roll-over loans** – otherwise known as floating rate loans are loans that carry an obligation to provide finance for a definite period, say 10 years, but interest thereon is re-negotiated at shorter intervals say, yearly or half yearly. This enables the lending bank to hedge against currency exposure. Some other flexibility could be built into this arrangement.

(iii) **Stand-by credit** – under this arrangement, the lending bank enters into a definite commitment to provide funds to a borrower under agreed terms and conditions. A commitment fee is payable by the borrower even for undrawn available funds.

(iv) **Syndicate credits** – where the size of the loan is large, more than one financial institution can jointly provide the loans. This is known as syndicated credits.

23.4 THE EUROMARKETS

The Euro market is the market for lending, borrowing and trading in Eurocurrencies and securities. This market has no central location but are rather scattered all over the world. Activities are carried out among banks and in International Exchanges such as London Stock Exchange, New York stock Exchange, Luxembourg Exchange, etcetera.

23.4.1 Origin Of The Euro market

The different segments of the Euromarkets have evolved at different points in time. The Eurodollar market originated probably in the early 1950s (after the second world war) when a number of Eastern European banks attempted to conceal their ownership of dollar deposits by placing them with correspondents in Switzerland, UK, France, etcetera; but excluding the U.S.A. Subsequently, these correspondents began to lend these deposits to international borrowers seeking to borrow dollars at interest rates lower than that prevailing in the U.S.A. because of interest rate restrictions in the U.S. at that time. Other holders of dollars seeking higher returns took advantage of the emerging market by placing their funds with banks outside the U.S.A.

On the other hand, the origin of Eurobond market is traced to July 1963, when the Italian roadway system Autos trade floated a dollar-denominated bond issue to raise US$15 million outside the U.S.A. market. Subsequently, other offshore U.S. dollar-denominated Eurobonds offers became popular as issuers of bonds were quick to realize that they could tap substantial dollar reserves in Europe and at the same time circumnavigate U.S. tax liability.

23.4.2 Regulation of the Euromarkets:

The Euro markets are not subject to any major national controls by the authorities in the host countries in which the transactions take place. Although issuers and investors in the international markets remain subject to the relevant regulations and tax laws of their home countries on

securities trading abroad, up to now, the markets have been subject to a patchment of overlapping regulatory frameworks, with no single government authority capable of controlling the markets. Sequel to the regulatory and tax treatment less burdensome than that prevailing in most domestic markets, Euromarkets have rapidly emerged as a rival to domestic markets for investible funds in the United Kingdom, Germany, United States and other developed countries.

In an attempt to fill the gap created by the absence of a single official regulatory agency supervising the Euromarkets, the intermediaries in the market have embarked on self-regulation. That responsibility has fallen chiefly on the Association of International Bond Dealers (AIBD) and the affiliated International Primary Market Association. The AIBD has its headquarters in Switzerland and the U.K.

23.4.3 Segmentation of the Euromarkets:

The Euro markets are segmented according to the nature of instruments or activities carried on. Thus we have the following:

(a) **Eurocurrency market** – where transactions are carried out in currencies other than those of the particular country in which the market is situated. Actively traded currencies include USD, Sterling, Yen, Euro, etcetera. In Nigeria, Eurocurrency markets exist in all the banks where transactions are consummated in major currencies other than the Naira.

(b) **Eurobond market** – a market for bonds issued to investors outside the country of both the issuer and the currency in which the bonds are denominated.

(c) **Euro equity market** – a market for shares issued and sold to investors outside the country and currency of the issuer. Thus if a Nigerian company offer its shares denominated in dollars on the London stock exchange, then, a euro equity market will exist for the company's shares.

(d) **Euro note market** – a market for trading in instruments such as promissory notes, bills of exchange and commercial papers made to investors outside the country of the issuer.

(e) **Euro clear** – this is a clearing system for Eurobonds, based in Brussels where Eurobonds are physically exchanged and stored.

23.4.4 *Characteristics Of The Euro Currency Market*

- The market has no specific location. In Nigeria, Euro currency exists in all the banks where transactions are consummated in currencies other than the naira.
- Funds movements in the Eurocurrency market usually involve large amounts.
- The vostro accounts and other external accounts in London designated in sterling form the basis for the Euro Sterling market in countries outside the United Kingdom such as France, Germany, USA.
- The currency itself may never leave the country of origin and the only aspect of say Euro Yen, which differ from any other Japanese Yen, is the question of ownership.
- The market is not subject to any major controls by the governments of both the original and host countries.
- The market only exists for major convertible currencies such as the US dollar, Sterling pound, etcetera.

23.4.5 *Dangers In Eurocurrency Market Operations*

(i) **Large Exposure to Risk:** Activities in the Eurocurrency market involve the establishment of complex chains of intra-market on-lending; making it difficult for banks to establish the level of exposure to risk incurred with any particular transaction.

(ii) **Capital Adequacy:** Doubts have been expressed about the capital adequacy of banks in relation to their Eurocurrency activities. It may encourage banks and other operators to overtrade in view of the fact that they may obtain funds well in excess of the amounts, which they would be able to obtain on domestic markets.

(iii) **Lack of Security:** The risks related to lending within the market are greater than those to be faced in comparative domestic market because the funds are largely unsecured, and this increases the risk of default.

(iv) **Loose Supervision:** Absence of close supervision of activities in the market could encourage unethical behaviours by operators. Furthermore, the market does not enjoy the support of official lender-of-last-resort facilities of any particular government or Central Bank thus increasing its vulnerability.

(v) **Systematic Failure:** In view of the complex web of relationships in the market, the collapse of one market participant could trigger a chain-reaction or domino effect; the magnitude of which would be difficult to estimate.

(vi) **Effects on National Economies:** Apart from the market generated problems which could affect market participants, there are also those problems that go beyond that and which could impact on national economics by implementation of official macro-economic policies in the following ways:

- existence of Eurocurrency market may facilitate the flow of "hot money" which may destabilize exchange rate of a currency;
- eurocurrency activities results in money creation which raises the level of international liquidity and may stimulate global inflation;
- domestic monetary controls may be frustrated when domestic residents and multinational corporations have easy access to funds from the eurocurrency market;
- whilst it is recognized that countries experiencing balance of payments problem could borrow from the market to bridge the gap, easy access to funds in this way could encourage nations to live beyond their means; which causes problems for the world economy at large.

23.5 INVESTING IN THE NIGERIAN CAPITAL MARKET

The promulgation of the Nigerian Investment Promotion Council (NIPC) Act of 1995 and the Foreign Exchange (monitoring and miscellaneous provisions) Act of 1995 have, to a large extent, revolutionalised the investment climate in Nigeria. Strictly speaking, the NIPC Act deals with foreign direct investment, while the Foreign Exchange Act is the primary legislation on foreign portfolio investment. The relevance of the NIPC Act

to foreign portfolio investment is that through it, restrictions hitherto placed on the percentage of equity participation by foreigners in Nigerian companies had been abolished. The following highlight provides a basis for understanding the issues involved:

(i) Under the NIPC Act, foreigners can now invest freely in any enterprise of their choice, subject to two sectoral exceptions, namely, "petroleum enterprises" and "negative list". The restrictions on petroleum enterprise were subsequently removed by the Nigerian Investment Commission (Amendment) Act 1998. The negative list contains a list of those sectors of investment prohibited to foreign and Nigerian investors. The list is as follows:

- Production of Arms, Ammunition etc.
- Production of and dealing in narcotic drugs and psychotropic substances.
- Production of military and paramilitary wears.
- Such other items as the federal government may from time to time determine.

(ii) Section 26 of the foreign exchange Act states that "A person, whether resident in or outside Nigeria; or a citizen of Nigeria or not, may deal in, invest in, acquire or dispose of, create or transfer any interest in securities and other money market instruments *whether* denominated in foreign currencies or not".

(iii) It is now permissible for quoted companies to seek multiple/cross-border listing subject to the Nigerian stock exchange's memorandum of understanding with relevant international Stock Exchanges.

(iv) Foreign governments and companies incorporated abroad may issue, sell or offer for sale or subscription, their securities to the Nigerian public through the Nigerian capital market.

23.5.1 The SEC Guidelines On Foreign Investments

The Securities and Exchange Commission (SEC) is the apex regulatory authority in the Nigerian capital market. The commission has issued guidelines to facilitate foreign investment in Nigeria. The main trusts of the guidelines are as follows:

(a) Any person may invest in all securities traded on the primary and/or secondary markets or by private placements in Nigeria. Such

securities, except those of private companies must be registered with SEC.

(b) Any person investing in Nigeria with foreign capital is required to bring in such capital through an authorized dealer and should obtain a certificate of capital importation. The certificate of capital importation shall entitle foreign investors to:

- open foreign currency domiciliary account with any bank for investment purpose;
- open a special non-resident naira account to which could be credited receipt from the capital inflows, proceeds from the sale of securities, dividends and interest;
- repatriate the capital; capital gains, dividends etc, through an authorized dealer.

(c) With respect to portfolio investments, investors subscribing in the primary market securities should consummate their transactions through registered capital market operators registered by the SEC. Investors dealing in the secondary market should effect their transactions through licensed brokers/dealers on the floors of any Stock Exchange in Nigeria.

(d) Foreign investors are guaranteed unconditional repatriation of dividends, capital gains, interest and other incomes derived from their investments in freely convertible currency through authorized dealers.

(e) A foreign investor is equally at liberty to divest at any point in time on the floors of any Stock Exchange in Nigeria.

23.5.2 *The Nigerian Stock Exchange Administrative Guideline For Foreign Investments*

The administrative guidelines for foreign investment issued by the Nigerian stock exchange detail the procedures to be adopted by a foreign investor who wish to invest in Nigeria through the stock exchange. Under these guidelines:

(a) The prospective investor appoints a local broker of his choice;

(b) The broker and the investor agree on a bank of choice in Nigeria;

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(c) The potential investor then informs the bank on how much he intends to invest;

(d) Subsequently, the funds is routed by electronic funds transfer to the Nigerian bank (physical currencies not allowed);

(e) Upon receipt of the funds, the bank issues the investor with a certificate of capital importation;

(f) The certificate of capital importation serves as a back-up document whenever the investor intends to repatriate dividends, interest or eventual repatriation of capital.

With regard to foreign investors wishing to establish securities business in Nigeria (i.e. as capital market operators) such company should be registered with SEC. The application for registration must be accompanied with:

(i) Certificate of incorporation in Nigeria;

(ii) Certificate of incorporation in the country of domicile;

(iii) Proof of registration with the relevant regulatory authority of its country of domicile;

(iv) Latest audited financial statements of the company in its country of domicile.

(v) The profile of the promoters/management;

(vi) Any other relevant information, as may be required by Nigerian Securities and Exchange Commission.

Where the foreign investor acquire a part of or enters into joint venture with an existing Nigerian registered securities market operator, that local operator may sponsor such foreign investor for registration with the SEC.

For the avoidance of doubt, Nigerians resident outside the country are regarded as foreign investors in respect of all transactions involving capital importation and exportation. They are expected to obtain certificate of capital importation in the prescribed manner.

23.6 THE FOREIGN EXCHANGE (MONITORING AND MISCELLANEOUS PROVISIONS) ACT 1995

This Act repealed the Nigeria Exchange control Act 1962 and other foreign exchange laws enacted prior 1995. High positive correlations exist between this Act and the Nigeria Investment Promotion Act of 1995. One